

9:00 AM

Line 7

25-CIV-05475 ANGINEH KALABY, ET AL VS. VOLKSWAGEN GROUP OF AMERICA,
INC., ET AL

ANGINEH KALABY
VOLKSWAGEN GROUP OF AMERICA, INC.

NINO SANAIA
SEAN P. CONBOY

Defendants' Motion for Judgment on the Pleadings

TENTATIVE RULING:

Defendants Volkswagen Group of America, Inc. ("Volkswagen") and Rusnak/Pasadena Audi's ("Rusnak") Motion for Judgment on the Pleadings is SUSTAINED-IN-PART with leave to amend with respect to the Fifth Cause of Action for Negligent Repair in Plaintiffs' Complaint, and OVERRULED-IN-PART with respect to the remaining causes of action, as follows:

Motion for Judgment on the Pleadings

A motion for judgment on the pleadings is to be granted under essentially the same standard as that applied in the case of a general demurrer; under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (*Shea Homes Ltd. Partnership v. County of Alameda* (2003) 110 CA4th 1246, 1254.) The court is generally confined to the facts alleged in the challenged pleading, and facts which are subject to judicial notice, and extrinsic evidence is not to be considered. (*Gerawan Farming, Inc. v. Lyons* (2000) 24 C4th 468, 515-516; *Sykora v. State Dep't of State Hosps.* (2014) 225 CA4th 1530, 1534.) Where a defendant's answer raises any material issue or sets up any affirmative matter constituting a defense, a motion for judgment on the pleadings should be denied. (*Allstate Ins. Co. v Kim W.* (1984) 160 CA3d 326, 330-331.)

Here, the first four causes of action in Plaintiff's Complaint allege violations of the Song Beverly Warranty Act pertaining to a warranty contract for a 2023 Audi Q 7 (the "Subject Vehicle") between Plaintiffs Angineh Kalaby and Saro Avakian and Defendant Volkswagen Group of America, Inc. ("Volkswagon"), the fifth alleges negligent repair, and the sixth alleges fraudulent inducement by concealment. Defendants Volkswagen and Rusnak/Pasadena Audi ("Rusnak") argue that the first four causes of action are subject to judgment on the pleadings because Plaintiffs do not allege a sale of the Subject Vehicle.

Allegations of Sale – Song Beverly Warranty Act Claims

Defendants argue that the Complaint "fails to state a cause of action under the Song-Beverly Consumer Warranty Act because it does not allege that Plaintiffs purchased a consumer good, nor does it allege that Plaintiffs were a buyer of the Subject Vehicle." (Motion, at p. 9:22-24.) The Complaint alleges that "Plaintiffs are "buyers" of consumer goods under the Act."

(Complaint, ¶9.) It more specifically alleges that on February 4, 2023, Plaintiffs entered a warranty contract with Defendant Volkswagen regarding the Subject Vehicle, referring to Exhibit A to the Complaint, which is a document entitled “2023 Audi Models USA Warranty & Maintenance Gasoline and Hybrid Models.” (*Id.*, at ¶¶7-8, Exh. A.) The Complaint therefore does allege that Plaintiffs were a buyer of the Subject Vehicle within the meaning of the statute, using statutory language, and includes the specifics of the vehicle, the date of entry in the warranty contract, and the applicable contract.

This is sufficient to advise Defendants of the claims against them, and the Song Beverly Warranty Act claims are not subject to judgment on the pleadings on this basis.

Negligent Repair

Defendants argue that Plaintiffs’ negligence claim is barred by the economic loss rule, and separately that it is subject to judgment on the pleadings because it fails to plead any facts regarding the alleged negligence.

Adequacy of Allegations

A complaint for negligent injury to person or property must allege: (1) the defendant's legal duty of care toward the plaintiff; (2) the defendant's breach of duty, i.e., the negligent act or omission; (3) injury to the plaintiff as a result of the breach, i.e., proximate or legal cause; and (4) damage to the plaintiff. (*Rosales v. Stewart* (1980) 113 Cal. App. 3d 130; *Pultz v. Holgerson* (1986) 184 Cal. App. 3d 1110.)

The Complaint alleges that “Plaintiffs delivered the Subject Vehicle to Defendant RUSNAK for substantial repair on at least one occasion.” (Complaint, ¶47.) It further alleges that Defendant Rusnak owed a duty to Plaintiffs to use ordinary care and skill in storage, preparation and repair of the Subject Vehicle in accordance with industry standards which it breached by failing to do so, proximately causing Plaintiff’s damages. (*Id.*, at ¶¶48-50.) Each element is alleged, and together provide notice to Defendants of the claim alleged against them. This cause of action therefore is not subject to judgment on the pleadings on this basis.

Economic Loss Rule

The economic loss rule generally prohibits recovery in tort for negligently inflicted purely economic losses, which are financial harms unaccompanied by physical or property damage, and support only recovery in contract. (*Rattagan v. Uber Techs., Inc.* (2024) 17 Cal. 5th 1.)

Here, Plaintiffs’ Complaint alleges that the value of the Subject Vehicle is worthless or *de minimis*. (Complaint, ¶14.) It prays for general, special and actual damages according to proof and for any consequential and incidental damages. (*Id.* at p. 12:25, 27.) No facts showing other property damage or personal injury are alleged. The Negligent Repair claim therefore is subject to judgment on the pleadings pursuant to the economic loss rule.

Leave to amend should be granted to allow Plaintiffs to allege any applicable physical or property damage beyond that alleged with respect to the Subject Vehicle.

Fraudulent Inducement by Concealment

Defendants argue that Plaintiffs have not pled fraud with the requisite specificity, have not alleged a transactional relationship with Defendant Volkswagen giving rise to a duty to disclose, have not alleged corporate ratification of fraud, and have not identified what material information was allegedly concealed.

Specificity

Plaintiffs allege a defect class regarding engine defects, the safety implications of the defects, knowledge channels for Defendant to be aware of the defect including prelease testing data, customer complaints, dealership repair orders, and others, and a course of concealment of that knowledge. (See Complaint, ¶¶57, 59, 66.) These allegations are sufficiently specific to overcome the challenge for specificity.

Transactional Relationship

As discussed above, Plaintiffs have alleged a warranty relationship with Defendants. The Motion therefore is not sustained on this basis.

Corporate Ratification

Corporate ratification of fraud is supported by allegations at paragraphs 64, 72, and 75 of Plaintiff's Complaint. The Motion therefore is not sustained on this basis.

Allegations of Concealed Material

Plaintiffs allege exclusive knowledge of a material safety defect and partial quality representations, supporting a duty to disclose. (See Complaint, ¶¶62-63, 66, 72.) The Motion therefore is not sustained on this basis.

The fraudulent inducement cause of action accordingly survives Defendants' challenge.

Plaintiff to file a First Amended Complaint within ten days of notice of entry of this order to amend the Fifth Cause of Action for Negligent Repair, unless it elects not to pursue this cause of action which cause would then be subject to dismissal.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling" (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.

9:00 AM

Line 8

25-CIV-06050 MOIREEN MERRILL VS. CYRIL JOHNSON MANAGEMENT CO., A
CALIFORNIA CORPORATION

MOIREEN MERRILL
CYRIL JOHNSON MANAGEMENT CO.,
A CALIFORNIA CORPORATION

GREGORY P WONG
MAHTAB HAJIBABAEI

Defendant's Motion to Compel Petition for Arbitration and to Stay Litigation Until Arbitration is Complete

TENTATIVE RULING:

Petitioner's Notice of New Hearing Date filed on December 22, 2025, states that Department 20 is located in the Central Branch. However, Department 20 since has moved to the Northern Branch, Courtroom L, 1050 Mission Road, South San Francisco, CA 94080. (*See* Cal. Rules of Court, Rule 3.1110 [the Notice "must specify" the location of the hearing].)

The Motion to Compel Petition for Arbitration and to Stay Litigation, Etc. (the "Motion") brought by Defendant J. Cyril Johnson Management Co. is DENIED.

Background

Per the allegations, Defendant hired Plaintiff on about August 16, 2008, as an apartment manager living on-site. Although Plaintiff was paid as an exempt employee, her duties and authority were those of a nonexempt employee. Plaintiff regularly worked overtime, but was not paid overtime nor even the minimum wage for all of the hours she worked.

On or about April 9, 2025, Plaintiff provided a statement to human resources supporting a coworker's claim that Defendant's owner, Mark Johnson, had inquired into the coworker's immigration status before the coworker was fired. Then, on about April 30, 2025, Plaintiff was involuntarily terminated as well. Defendant failed to pay her wages due at the time of termination, and to provide accurate wage statements.

Defendant brings the instant Motion to Compel Petition for Arbitration and to Stay Litigation Until Arbitration Is Complete (the "Motion") to ask the Court to compel Plaintiff to arbitrate this matter pursuant to California law (Code Civ. Proc., §§ 1281.2 & 1281.7), and pending arbitration, to stay this action (*id.*, § 1281.4).

The Motion Is Denied.

The governing statute provides, in pertinent part, that:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy *if it determines that an agreement to arbitrate the controversy*
